

anyone hope to become truly wealthy when the equivalent of nearly 60 percent of her wealth is subject to income tax each year? The average person in Sharon's income/age category realizes the equivalent of only 19.6 percent of his net worth in annual income. Thus, only about \$1 in \$5 of his net worth is subject to income tax.

What about people who have above-average levels of wealth? How much of their equivalent net worth is being taxed? Barbara is a typical member of the PAW category. Her realized annual income is approximately the same as Sharon's—\$220,000. But Barbara's net worth is approximately \$3,550,000. Therefore, the equivalent of only 6.2 percent of her wealth is subject to federal income tax. What percentage of Barbara's wealth is paid in federal income tax? Approximately 2 percent. In sharp contrast, Sharon paid the equivalent of 18.8 percent of her wealth in federal income tax, or more than nine times the percentage for Barbara.

The average American millionaire realizes significantly less than 10 percent of his net worth in annual income. In spite of having considerable wealth and substantial annual increases in wealth (in unrealized form), the typical American millionaire may personally be cash poor. More than 20 percent of Barbara's annual realized income is invested in financial assets that tend to appreciate in value without generating realized income. Sharon, on the other hand, invests less than 3 percent of her realized income. Most of her financial assets are in liquid form.

Sharon's economic situation is quite risky. She is the main breadwinner in her household, which has little investment income. If her employer eliminates her job, what then? There are not too many positions available today that pay \$200,000 or more a year. Barbara, again in contrast to Sharon, has a business with more than sixteen hundred customers—that's sixteen hundred sources of income. This is much less risky than Sharon's position. Sharon could not survive for six months if she lost her source of income. But Barbara could easily survive for twenty or more years. Actually, she could retire at this point on the income from her financial assets alone.

Barbara, the prodigious accumulator of wealth, is just one of more than 3.5 million millionaires in America today. More than 90 percent have a net worth between \$1 million and \$10 million. How do these affluent people compare with the super-affluent? Indications are that the higher one's net worth, the better one is at minimizing one's realized